Question 1: True or False: A company can sustain its competitive advantage primarily through cost leadership without innovation.
Correct Answer: False
Explanation: Innovation is crucial for maintaining a competitive advantage as it allows a company to stay relevant and adapt to changing market conditions. Cost leadership alone is not sufficient for long-term sustainability.
Question 2: What is the most crucial factor in risk management for a global corporation?
Correct Answer: A) Regulatory compliance
Sample Response: Regulatory compliance is essential as it helps avoid legal issues that can lead to significant financial losses and damage to reputation.
Question 3: In strategic management, which of the following best defines the 'Blue Ocean Strategy'?
Correct Answer: B) Creating a new market space to avoid competition
Sample Response: Blue Ocean Strategy involves creating a new, uncontested market space that makes the competition irrelevant, thereby allowing for growth and profitability without engaging in direct competition.
Question 4: True or False: Stakeholder theory states that the only responsibility of a business is to increase its profits.
Correct Answer: False
Explanation: Stakeholder theory holds that a business has responsibilities towards all its stakeholders, not just shareholders, and must balance their needs and interests, not solely focus on profit maximization.
Question 5: Describe the impact of corporate social responsibility (CSR) on a company’s brand image.
Correct Answer: Positive impact
Sample Response: Engaging in CSR activities can significantly enhance a company's brand image by demonstrating commitment to ethical practices, which can attract customers, improve employee morale, and increase investor confidence.
Question 6: Which management style is most effective in a high-stakes, fast-changing technological environment?
Correct Answer: D) Transformational
Sample Response: Transformational management inspires employees through effective leadership and vision, fostering an environment of innovation and rapid response to technological changes, which is crucial in high-stakes scenarios.
Question 7: True or False: Mergers and acquisitions always lead to enhanced productivity and efficiency in the involved companies.

Correct Answer: False
Explanation: While mergers and acquisitions can provide opportunities for productivity and efficiency gains, they do not always result in positive outcomes due to challenges like cultural clashes and integration issues.
Question 8: Outline the primary benefit of implementing sustainable practices in business operations.
Correct Answer: Long-term viability and improved public perception
Sample Response: Sustainable practices reduce environmental impact and resource use, leading to cost savings, enhanced brand loyalty, and compliance with regulations, which contribute to the long-term viability of a business.
Question 9: What role does 'organizational culture' play in mergers and acquisitions?
Correct Answer: B) It can significantly hinder the integration process if not aligned
Sample Response: Organizational culture plays a critical role in mergers and acquisitions as misalignment between merging entities can lead to integration difficulties, employee dissatisfaction, and failure to achieve synergistic benefits.
Question 10: True or False: Effective leadership has minimal impact on organizational change management.
Correct Answer: False
Explanation: Effective leadership is crucial for managing organizational change as it directs and motivates employees, facilitates communication and adaptation, and ensures alignment with new strategic goals.